IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
SPECIAL BENCH (COURT – II)

Item No. 203
CP(CAA)-68/ND/2025 in
CA(CAA)-35/ND/2025

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN:

FS India Devco Private Limited ... **Transferor Company/ Petitioner No. 1**

AND

First Solar Power India Private Limited ... **Transferee Company/ Petitioner No. 2**

Under Section: 230-232 of Companies Act, 2013

Order delivered on 30.03.2026

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)
SH. ATUL CHATURVEDI, HON'BLE MEMBER (T)

PRESENT:

For the Applicant : Adv. Divyam Agawal, Adv. Ankit Aggarwal, Adv. Kavya Jha

For IT Dept. : Mr. Indruj Singh Rai SSC, Mr. Rahul Singh and Mr. Sanjeev Menon JSC's, Adv. Sumita Singh, Adv. Nishant Shokeen, Adv. Yash Bharadwaj and Adv. Ojaswani Dixit

Hearing Through: VC and Physical (Hybrid) Mode

ORAL ORDER

Having considered the company application CA(CAA)-35/ND/2025 this Tribunal passed order dated 28.07.2025, relevant excerpt of which reads thus:-

*"**12.** The details regarding the number and value of shareholders and creditors of the Applicant Companies, along with the status of their*

consent to the proposed Scheme, have been provided in the application in a tabulated format for ease of reference.

	Transferor Company/ Applicant No. 1	Transferee Company/ Applicant No. 2
EQUITY SHAREHOLDERS		
Details of equity shareholders	2 shareholders [*p. 177 – 179, Vol. 1*]	2 shareholders [*p. 287 – 289, Vol. 2*]
Consent affidavits of equity shareholders	1 shareholder (i.e., Transferee Company) representing 99.99% in value has given consent on affidavit [*p. 180 – 183, Vol. 1*]	1 shareholder representing 99.99% in value has given consent on affidavit [*p. 290 – 300, Vol. 2*]
SECURED CREDITORS		
Details of secured creditors	NIL [*p. 184 – 186, Vol. 1*]	NIL [*p. 301 – 303, Vol. 2*]
Consent affidavits of secured creditors	NA	NA
UNSECURED CREDITORS		
Details of unsecured creditors	NIL [*p. 187 – 189, Vol. 1*]	14 unsecured creditors to whom INR 12,90,03,085.68/- is owed [*p. 304 – 307, Vol. 2*]
Consent affidavits of unsecured creditors	NA	4 unsecured creditors representing 97.34% in value (INR 12,55,78,513.22/-) have given consent on affidavit [*p. 308 – 345, Vol. 2*]

13. *Further, the grounds on which exemptions from meetings for the Applicant Companies has been sought, as stated in the application, reads as follows:*

S.no.	Grounds for exemption of meetings of Equity shareholders	Grounds for exemption of meetings of Secured Creditors	Grounds for exemption of meetings of Unsecured Creditors
Applicant 1/Transferor Company	Consent affidavits are given by 99.99% of Equity Shareholders.	NIL	NIL
Applicant Company 2/Transferee Company	Consent affidavits are given by 99.99% of Equity Shareholders.	NIL	Consent affidavits from the unsecured creditors having more than 90% (97.34%) in value of total unsecured creditors

14. *Since the Transferor Company has neither secured nor unsecured creditors, the requirement to convene any meeting does not arise. In the case of the Transferee Company, there are no secured creditors; accordingly, no meeting of secured creditors is required. As regards the unsecured creditors of the Transferee Company, it is noted that more than 90% in value have provided their consent to the proposed Scheme, thereby fulfilling the threshold prescribed under sub-section (9) of Section 230 of the Companies Act, 2013. Accordingly, in view of the aforesaid statutory provision, the requirement to convene meetings stands dispensed with for both the Transferor and Transferee Companies.*

15. *99.99% of the shareholders of the Applicant Companies have provided their consent/no-objection to the proposed Scheme by way of affidavits. In support of the request for dispensing the requirement to convene shareholders' meetings, the Applicants have relied upon the following judicial precedents:*

a. *In Mazda Theatres v. New Bank of India1 the Hon'ble Delhi High Court carved out exceptions where shareholders' meetings under Sections 391 - 394 of the 1956 Act could be dispensed with. The relevant extract of the judgment is reproduced below for ease of reference:*

   "Inroads have, however, been made on this formal doctrine. Firstly, the consent of all the shareholders given even outside a meeting is sufficient to comply with the requirement of a meeting

   ...

   The second inroad on the requirement of a formal meeting is that the consent of the shareholders may be ascertained without calling any meeting at all. Further, the doctrine of lifting the veil of incorporation and looking at the reality of the action of the members of the company enables us to hold that the consent of the overwhelming majority of the shareholders outside a meeting is sufficient to show that the resolution was supported virtually by all the members of the company ... "

   [emphasis supplied]

b. *The above judgment was subsequently affirmed by the Hon'ble Delhi High Court in Adobe Properties Private Limited.*
c. *The Applicant Companies have also placed their reliance on Infogix International Private Limited, All About Health India Private Limited4 and Mann Feeds Private Limited5 to support their contention of dispensing the requirement to convene shareholders meeting.*

16. *In the present case, the Applicant Companies – namely, the Transferee Company and the Transferor Companies – have sought dispensation from the requirement of convening meetings of their respective shareholders. As reflected in the table above, the basis for seeking such exemption is that 99.99% of the shareholders have submitted their consent affidavits in support of the proposed Scheme.*

17. *A perusal of the Companies Act, 2013 reveals that, unlike Section 230(9) of the Act, which permits the dispensation of meetings of creditors upon the consent of more than 90% of the creditors (by value) to the proposed Scheme, no similar provision exists for the dispensation of meetings of shareholders in relation to a proposed scheme of arrangement, merger, or amalgamation. Additionally, there are conflicting judicial precedents regarding the exercise of discretion by this Tribunal in dispensing with the requirement for convening meetings of shareholders to consider such a scheme.*

18. *In Re: Bharat Explosives Ltd[6], the Hon'ble Allahabad High Court while considering an application under Section 391 of the Companies Act, 1956 held that even though 89.85% of the shareholders of the transferee company therein had consented to the scheme, the meeting of the shareholders was required to be called to consider the proposed scheme, keeping in view the rights of the minority groups of shareholders. In Re: Ansys Software Private Limited[7], the Hon'ble Karnataka High Court placed emphasis on the need for holding meetings for consideration of a*

proposed scheme under Section 391 of the Companies Act, 1956 and observed that when law provides for a meeting of the members and creditors for the purpose of discussing and approving a proposed scheme, it has a definite purpose and object and the same cannot be done away by a process of dispensation. Similarly, in Ganges Concast Industries Limited[8], the Hon'ble Allahabad High Court expressed its apprehension in dispensing with the meeting of stakeholders merely on the basis of documents placed before the court and further held such action to be deviation from the procedure prescribed under the statute.

19. *But in Re: Ambuja Cements Limited [Supra] dated 06.04.2021, the Hon'ble NCLAT, New Delhi, set aside the order of NCLT, Ahmedabad for wrongfully rejecting the plea of the Appellant Company to dispense with meeting of equity shareholders and secured/ unsecured creditors. The Appellate Tribunal took into account the fact that the Transferor Company was a wholly owned subsidiary of the Transferee Company and the scheme did not envisage any reorganization of share capital of the Transferee Company. The aforesaid judgment of Ambuja Cements Limited (supra) was reaffirmed in the judgment dated 22.12.2021 passed by the Hon'ble NCLAT, New Delhi in Re: Patel Hydro Power Private Limited[9] where it was held that the meeting of equity shareholders and creditors can be dispensed with where the transferor and transferee companies are subsidiary and parent companies.*

20. *It is also relevant to make reference to the judgment dated 16.01.2017 passed by the Hon'ble Delhi High Court in Adobe Properties Private Limited with AMP Motors Private Limited10 wherein the Hon'ble High Court dealt with the question of dispensing with the requirement of convening meeting of the equity shareholders, secured and unsecured creditors to consider and approve the scheme of amalgamation of the Applicant companies therein. The Hon'ble High Court made reference to*

several judicial precedents before taking the view that a court/ tribunal has the discretionary power to order the convening of such meeting or dispensing with the same. However, such power has to be exercised judicially, to further the ultimate aim and object of the statute. Relevant extract of the judgment reads thus:

> *"25. The legal position that emerges from a conspectus of the above decisions can be summarized as follows:*
>
> *i. The Court may dispense with the requirement of convening meetings of members and/ or creditors or a class thereof, in view of the circumstance that a scheme is not being proposed to members and/ or creditors or a class thereof*
>
> *ii. The Court may dispense with the requirement of convening meetings of the members and/or creditors of the holding company in the event a wholly owned subsidiary is being amalgamated into its holding company and no variation of rights is being caused to such members and/or creditors of the holding company.*
>
> *iii. The Court may dispense with the requirement of convening meetings of creditors or a class thereof, of the wholly owned subsidiary, in the event a wholly owned subsidiary is being amalgamated into its holding company and the rights of creditors of wholly owned subsidiary remain unaffected therein.*
>
> *iv. The Court may exercise its discretion to dispense with the requirement of convening meetings of members and/ or creditors, or a class thereof, in view of the consent obtained from majority in number and three-fourths in value of such members and/ or creditors, or a class thereof, as the case may be, in writing to the proposed scheme."*
>
> *(Emphasis supplied)*

21. *In the present case, the Transferor Company is subsidiary of the Transferee Company, and the unsecured creditors of the Transferee Company have provided their consent to the proposed Scheme in accordance with Section 230(9) of the Companies Act, 2013. Furthermore, 99.99% of the equity shareholders of all the Applicant Companies have also consented to the Scheme. As noted above, while there is no statutory provision expressly permitting the dispensation of shareholder meetings*

upon submission of consent affidavits from a prescribed threshold, the judicial precedents referenced earlier indicate that this Tribunal possesses the discretionary power to dispense with the meeting of shareholders as well.

22. *In light of the foregoing, the prayer made by the Applicant Companies for dispensing from the requirement of convening meetings of their respective shareholders and creditors, for the purpose of seeking approval of the proposed Scheme of Amalgamation, is hereby allowed.*

23. *The present order would be notified to the following:*

i. Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs;
ii. Registrar of Companies, NCT of Delhi & Haryana;
iii. Official Liquidator, High Court of Delhi
iv. Jurisdictional Assessing Officer & Principal Chief Commissioner of Income Tax, New Delhi.

24. *On completion of the exercise as above, the Applicant Companies shall be entitled to move an appropriate application.*

a. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies.
b. The Court Officer / Registry is directed to send a copy of this order to the Applicant Companies for necessary steps to be taken at their end.

The Application is allowed on the aforesaid terms."

2. As can be seen from the aforementioned order, the meetings of the stakeholders could be dispensed with. A perusal of the order dated 17.02.2026 reveal that the Ld. Counsel for the Official Liquidator and Income Tax

Department had no objection to the approval of the scheme. The order reads thus:-

> *"Ld. Counsels for the OL and Income Tax Department submitted that they would have no objection to the approval of the scheme. Nevertheless, Mr. Kamlesh Rathore, Joint Director, Northern Region MCA, sought a short accommodation to put forth his stand in the proceedings. At his request, the hearing has been deferred to* ***10.03.2026****."*

3. Again on 10.03.2026, the Deputy Director who represented Regional Director submitted that the Regional Director had no further observation qua the Applicant and it was satisfied with the response received by it from the Applicant. The order dated 10.03.2026 reads thus:-

> *"The Deputy Director present for the RD submitted that RD has received response from the Applicant qua the observations made by the RD and RD is satisfied with the response. RD has no further observation. Let the RD file its final report with reference to the response to the preliminary objections raised by the RD, within two weeks from today. List the matter on* ***30.03.2026****."*

4. Para-10 of the report filed on behalf of the Regional Director, wherein certain observations could be raised reads thus:-

> *"**10.** That as per Para 31 of the report dated 28.10.2025, the observations of the Registrar of Companies, NCT of Delhi & Haryana are as follows:*
>
> *a. As per audited financial statement of Transferor company for F. Y. 2023-24, the company has Nil revenue from operation in last two financial year. Thus, the company appears to be in active. The company may be asked to clarify the same.*

b. *The auditors of the Transferor company in the audit report. for F. Y. 2023-24 have given Emphasis of Matter as under:*

"The company did not have a .full time company secretary during the year and as on the date of approval of these Financial statements as required under section 203 of the Act ConsequentIy, these fInancial statements could not be authenticated by a company secretary ensuring compliance with all applicable provisions of the Act." The company may be asked to clarify the same."

c. *As per point vii(a) of Annexure I to the Auditors' Report for F. Y. 2023-24, the Transferor company has pending statutory dues. The company may be asked to clarify the same.*

d. *The auditors of the Transferor company in the audit report for F. Y. 2023-24 have stated that the company has not transferred the unspent CSR amount to a Fund specified in Schedule VII to the Act, within a period of six months of the expiry of financial year. For the default, an e-SCN has been issued to the company u/s 135 of CA, 2013.*

e. *As per MCA Registry, the shareholders of the transferor company(s) and transferee company are foreign entity(s). The company may be directed to comply with the Foreign Exchange Management Act, (FEMA), 1999 for the purpose of any transactions carried out for the scheme.*

f. *As per clause 7'4 of Part-II of the scheme) both the petitioner companies agreed that till the scheme becomes effective, the companies are free to pursue corporate actions to alter their authorized, issued, subscribed and paid-up capital as may be required by the respective business requirements. The company may be asked to clarify whether any alteration has been made in respect to share capital of both companies.*

g. *The Transferee company to comply with the provisions of Section 232 (3) (i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital."*

5. The Applicant filed his response to the aforementioned observation in terms of its reply dated 04.12.2025. The relevant excerpt of the reply reads thus:-

***RE:* OBSERVATIONS IN THE RD REPORT**

<table>
<tr><th>Observations in the RD Report</th><th>Clarification/ Response</th></tr>
<tr><td>7. At para 10(a) of the RD Report, the Regional Director has reiterated the following observation of the Registrar of Companies ("ROC"):
"As per audited financial statement of Transferor company for F.Y. 2023-24, the company has Nil revenue from operation in last two financial year. Thus, the company appears to be inactive. The company may be asked to clarify the same."</td><td>7.1.1. In this regard, it is submitted that there is no impediment to sanction of the Scheme merely because the Transferor Company has nil revenue, because:
(a) Despite having nil revenue from operations, the Transferor Company has significant cash and bank balance, positive net worth as well as substantial total revenue. Therefore, the Transferor Company cannot be said to be an inactive company. The relevant figures are extracted below for ease:
<table>
<tr><th>Particulars</th><th>Amount (FY ended 31.03.2025) (in INR thousands)</th><th>Amount (FY ended 31.03.2024) (in INR thousands)</th></tr>
<tr><td>Cash and bank balance</td><td>15,19,526.14</td><td>5,72,523.33</td></tr>
<tr><td>Net worth (Total assets minus total liabilities)</td><td>15,29,709.38</td><td>15,18,564.48</td></tr>
<tr><td>Total revenue</td><td>77,045.98</td><td>81,392.80</td></tr>
</table>
(b) Further, the Transferor Company has been regularly filing its financial statements and annual returns with the ROC. Therefore, the Transferor Company cannot be said to be an inactive company. Copies of Form AOC-4 and Form MGT-7 filed with the ROC for the FY ended 31 March 2025 are annexed</td></tr>
</table>

Observations in the RD Report	Clarification/ Response
	herewith as **Annexure E**. Copies of Form AOC-4 and Form MGT-7 filed with the ROC for the FY ended 31 March 2024 are annexed herewith as **Annexure F**. **(c)** In accordance with the above, the Master Data of the Transferor Company as available on the website of the Ministry of Corporate Affairs, shows the status of the Transferor Company as being *"ACTIVE Compliant"*. **(d)** Assuming without admitting that the Transferor Company is inactive, there is no bar or restriction under Sections 230 and 232 of the Companies Act, 2013 (**"2013 Act"**) on the amalgamation of an inactive company. The Hon'ble NCLT Delhi has in the past sanctioned schemes of arrangement despite the companies having nil revenue from operations. Reliance in this regard is placed on *Jasmine Ispat Private Limited*, **2023 SCC OnLine NCLT 24646**, *Times Digital Limited*, **CP(CAA) No. 13/ND/2023**, and *Stainlay Ispaat Private Limited*, **2025 SCC OnLine NCLT 5547**. Copies of the said decisions are annexed herewith as **Annexure G, Annexure H** and **Annexure I**, respectively. **(e)** In any event, pursuant to the Scheme, all assets and liabilities of the Transferor Company will be transferred to the Transferee Company (*which is the holding company and 99.99% shareholder of the Transferor Company*) and the Transferor Company will be dissolved without winding up. **7.1.2.** In view of the above, it is submitted that the observation at para 10(a) of the RD Report is clarified, and there is no impediment to sanction of the present Scheme.

8.	At para 10(b) of the RD Report, the Regional Director has reiterated the following observation of the ROC: *"The auditors of the Transferor Company in the audit report for F.Y. 2023-24 have given Emphasis of Matter as under:* *"The company did not have a full time company secretary during the year and as on the date of approval of these Financial statements as required under section 203 of the Act. Consequently, these financial statements could not be authenticated by a company secretary ensuring compliance with all applicable provisions of the Act." The company may be asked to clarify the same."*	**8.1.1.** In this regard, it is submitted that there is no impediment to sanction of the Scheme, because: **(a)** The Transferor Company has already filed a compounding application with the Regional Director (vide SRN N30515316) on 30 April 2025 under Section 441(b) of the 2013 Act in connection with non-appointment of company secretary. The said compounding application is pending for hearing before the Registrar of Companies. Copy of the compounding application in connection with non-appointment of company secretary is annexed herewith as **Annexure J.** **(b)** In case any penalty or fine is imposed by the Regional Director on the Transferor Company pursuant to the compounding application, the Transferee Company shall pay and bear liability for the same in accordance with and subject to applicable law. **8.1.2.** In view of the above, it is submitted that the observation at para 10(b) of the RD Report is clarified, and there is no impediment to sanction of the present Scheme.

9.	At para 10(c) of the RD Report, the Regional Director has reiterated the following observation of the ROC: *"As per point vii(a) of Annexure 1 to the Auditors' Report for F.Y. 2023-24, the Transferor company has pending statutory dues. The company may be asked to clarify the same."*	**9.1.1.** In this regard, it is submitted that para 13.1 of the Scheme provides as follows: *"Upon the Scheme becoming effective, all liabilities, contingent liabilities, duties and obligations of every kind, nature and description of the Transferor Company, whether or not recorded in its books and accounts shall also, without any further act, instrument or deed, be transferred to or deemed to have been transferred to the Transferee Company so as to become, as and from the Appointed Date, the liabilities, contingent liabilities, duties and obligations of the Transferee Company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such liabilities, contingent liabilities, duties and obligations have arisen, in order to give effect to the provisions of this Clause 13.1."* **9.1.2.** In terms of the aforesaid provision of the Scheme, all outstanding liabilities of the Transferor Company (including any outstanding statutory dues) *"of every kind, nature and description"* will be transferred to the Transferee Company so as to become the liabilities of the Transferee Company as and from the Appointed Date. Therefore, it is clarified that any statutory dues payable by the Transferor Company which are outstanding on the Effective Date, if any, will become the responsibility of and be paid by the Transferee Company in the ordinary course of business. **9.1.3.** It is pertinent to highlight that the statutory dues referred to in the RD Report pertain to payment of interest under the Income Tax Act, 1961. The Transferor Company has already filed an application for waiver of interest under Section 234C of the Income Tax Act, 1961, which is pending for hearing before the Chief Commissioner of Income Tax. Therefore, it is submitted that the Transferee Company shall meet and discharge the said statutory dues in

		accordance with applicable law and subject to rights available under the Income Tax Act, 1961. **9.1.4.** In view of the above, it is submitted that the observation at para 10(c) of the RD Report is addressed, and there is no impediment to sanction of the present Scheme.
10.	At para 10(d) of the RD Report, the Regional Director has reiterated the following observation of the ROC: *"The auditors of the Transferor company in the audit report for F.Y. 2023-24 have stated that the company has not transferred the unspent CSR amount to a Fund specified in Schedule VII to the Act, within a period of six months of the expiry of financial year. For the default, an e-SCN has been issued to the company u/s 135 of CA, 2013."*	**10.1.1.** In this regard, it is submitted that there is no impediment to sanction of the Scheme, because: **(a)** The Transferor Company has already filed a compounding application with the Regional Director (vide SRN N30516561) on 30 April 2024 under Section 441(b) of the 2013 Act in connection with non-compliance regarding CSR. The said compounding application is pending for hearing before the Registrar of Companies. Copy of the compounding application in connection with non-compliance regarding CSR is annexed herewith as **Annexure K**. **(b)** Moreover, in response to the e-SCN issued by the ROC, the Transferor Company has already issued its response on 22 October 2025 and awaits ROC's response/ instructions for hearing on the adjudication. Copy of the said response is annexed herewith as **Annexure L**. **(c)** In case any penalty or fine is imposed by the Regional Director on the Transferor Company pursuant to the compounding application, the Transferee Company shall pay and bear liability for the same in accordance with and subject to applicable law. **10.1.2.** In view of the above, it is submitted that the observation at para 10(d) of the RD Report is clarified, and there is no impediment to sanction of the present Scheme.

11.	At para 10(e) of the RD Report, the Regional Director has reiterated the following observation of the ROC: *"As per MCA Registry, the shareholders of the transferor company(s) and the transferee company are foreign entity(s). The company may be directed to comply with the Foreign Exchange Management Act (FEMA), 1999 for the purpose of any transactions carried out for the scheme."*	**11.1.1.** In this regard, it is submitted that the Petitioner Companies will duly comply with all requirements of FEMA, so far as applicable, for the purpose of any transactions pursuant to the Scheme. **11.1.2.** In view of the above, it is submitted that the observation at para 10(e) of the RD Report is satisfied, and there is no impediment to sanction of the present Scheme.
12.	At para 10(f) of the RD Report, the Regional Director has reiterated the following observation of the ROC: *"As per clause 7.4 of Part-II of the scheme, both the petitioner companies*	**12.1.1.** In this regard, it is submitted that pursuant to filing of the Scheme with this Hon'ble Tribunal, neither of the Petitioner Companies have made any alterations to the authorised, issued, subscribed or paid-up share capital, and as of date, the same match the details as given in the Scheme at paras 7.1 and 7.2. **12.1.2.** In view of the above, it is submitted that the observation at para 10(e) of the RD Report is addressed, and there is no impediment to sanction of the present Scheme.

	agreed that till the scheme becomes effective, the companies are free to pursue corporate actions to alter their authorized, issued, subscribed and paid-up capital as may be required by the respective business requirements. The company may be asked to clarify whether any alteration has been made in respect to share capital of both companies."	
13.	At para 10(g) of the RD Report, the Regional Director has reiterated the following observation of the ROC: *"The Transferee company to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital."*	**13.1.1.** In this regard, it is submitted that the Transferee Company shall pay fees on the revised authorised share capital after setting-off of the fees paid by the Transferor Company, in accordance with Section 232(3)(i) of the Companies Act, 2013. **13.1.2.** In view of the above, it is submitted that the observation at para 10(g) of the RD Report is addressed, and there is no impediment to sanction of the present Scheme.

6. Though the observations raised on behalf of Regional Director are not such, which may come in the way of the approval of scheme of amalgamation, nevertheless, the Applicants would be liable to stand by the undertaking given by it and it would be the liability of the Transferee Company to:-

a. pay penalty for not transferring the amount to a fund specified in Schedule VII to the Companies Act within specified limit;
b. the Transferee Company would be under obligation to carry out the provisions of Foreign Exchange Management Act, 1999 and in the event of there being any defiance of the same, the concerned authorities would be entitled to take appropriate action in accordance with law. For such purpose, if required, the present order would be treated non est.
c. the Transferee Company shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013;
d. the Transferee Company would not be entitled to any benefit in tax treatment on account of the losses of Transferor Company and would be liable to pay the taxes including Income Tax as due;
e. the Applicants would be liable to comply with the provisions of Section 6 of the Companies Act, 2013 in letter and spirit.

7. Present order would not absolve either of the Applicants from their liabilities to be fulfilled in terms of the applicable provisions of law.

8. Here it would not be out of context to take note of the final report filed on behalf of Regional Director states that it is for this Tribunal to pass appropriate order in accordance with law. Relevant excerpt of the affidavit reads thus:-

> *"**5.** That with reference to the observations made in Affidavit filed by the O/o Regional Director (Northern Region) based on Registrar of Companies Report dated 06.01.2026, the Applicant Company submitted its reply. The Hon'ble Tribunal to satisfy itself with regard to the submissions before considering the Scheme and pass such order or orders as deemed fit and proper."*

9. Apparently majority of the observations raised on behalf of the Regional Director could be met by the Applicants to the satisfaction of Regional Director and as far as compliance of certain provisions required to be met by the Applicants, we have issued the appropriate directions. Thus, the **scheme stands approved,** subject to following conditions:-

i. That all the property, rights and entitlement of the Transferor Company pertaining to the Business be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 to 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company for all the estate and interest of the Companies but subject nevertheless to all charges now affecting the same;

ii. That all the liabilities and duties of the Transferor Company pertaining to the Business be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232

of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company;

iii. All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits.

iv. All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto.

v. All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with

associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions.

vi. The Income Tax Department shall have the liberty to determine the tax implications of the amalgamation under the Act, which shall prevail over the scheme, and even in case of liabilities arising against transferor companies the transferee company shall be responsible/liable.

vii. All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

viii. That the Appointed Date for the scheme shall be 01.04.2025 as specified in the scheme;

ix. That the Petitioner Companies shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration in the prescribed form.

x. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

xi. As per the aforesaid directions, formal orders in Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 be issued after the filing of the Schedule of Properties within three weeks from the date of receiving a certified copy of this order by the petitioners.

xii. Any of the provisions of scheme contrary to Companies Act, 2013 would be void.

10. All the concerned Regulatory Authorities are to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar. However, it is made clear that the present order would not entitle the Transferee Company to any exemption from requirement of obtaining license/permit/ registration/ quota/clearance/concessions/grants, needed by it from Central Government, State Government, Local authority, Sectoral regulator or any other authority constituted under any other law for the time being in force.

11. The CP(CAA)-68/ND/2025 is disposed of in the aforesaid terms accordingly.

Sd/-
(ATUL CHATURVEDI)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)

Iqraa/Ruchita